Best's Credit Rating Effective Date

November 13, 2025

Analytical Contacts

Jennifer Asamoah
Senior Financial Analyst
Jennifer.Asamoah@ambest.com
+1(908) 439-2200 Ext. 908-882-1637

Joseph R. Zazzera
Director
Joseph.Zazzera@ambest.com
+1(908) 439-2200 Ext. 908-882-2442

Information

Best's Credit Rating Methodology

Guide to Best's Credit Ratings

Market Segment Outlooks

Financial Data Presented

Financial data in this report: (i) includes data of affiliated entities that are not rating unit members where analytics benefit from inclusion; and/or (ii) excludes data of rating unit member entities if they operate in different segments or geographic areas than the Rating Unit generally. See list of companies for details of rating unit members and any such included and/or excluded entities.

The financial data in this report reflects the most current data available to the Analytical Team at the time of the rating. Updates to the financial exhibits in this report are available here: Best's Financial Report.

Physicians Mutual Group

AMB #: 069724

Associated Ultimate Parent: AMB # 049583 - Physicians Mutual Holding Company

Best's Credit Ratings - for the Rating Unit Members

Financial Strength Rating (FSR)	Issuer Credit Rating (ICR)
A+	**aa-**
Superior	**Superior**
Outlook: **Stable**	Outlook: **Stable**
Action: **Upgraded**	Action: **Upgraded**

Assessment Descriptors

Balance Sheet Strength	**Strongest**
Operating Performance	**Strong**
Business Profile	**Neutral**
Enterprise Risk Management	**Appropriate**

Rating Unit - Members

Rating Unit: Physicians Mutual Group | AMB #: 069724

AMB #	Rating Unit Members	AMB #	Rating Unit Members
007451	Physicians Life Insurance Co	007372	Physicians Mutual Insurance Co

Rating Rationale

Balance Sheet Strength: Strongest

- Physicians Mutual Group's risk-adjusted capitalization as measured by Best's Capital Adequacy Ratio (BCAR) is maintained at the strongest level.
- Financial flexibility has been enhanced by access to over $200 million of borrowing capacity under the Federal Home Loan Bank of Topeka, Kansas. Operating leverage is considered low and within an acceptable range.
- Quality of capital supported by organic earnings and low operating leverage metrics. Additionally, the group has reported an increase in capital and surplus through mid-2025.
- The investment strategy is relatively conservative and has placed more focus on liquid asset classes and asset/liability management. In addition, it maintains a conservative investment portfolio compared to the industry, consisting primarily of investment-grade fixed-income securities.

Operating Performance: Strong

- Physicians Mutual Group has consistently reported a solid compound annual premium growth rate and through 2025. The five-year compound annual growth rate (CAGR) for net premiums written (NPW) was 4.4% at year-end 2024.
- Generally favorable but fluctuating earnings trends due in part to challenges in the Medicare Supplement line of business. Furthermore, volatility in operating results is expected to continue due to expense and benefit costs from newly written business. However, Physicians Mutual Group's total operating measures, both return on revenue (ROR) and return on equity (ROE), have remained solid over the past five-year period.
- Physicians Mutual Group benefits from its strongest level of risk-adjusted capitalization to offset the volatility in operating results. In addition, statutory underwriting results continue to be supplemented by a historically significant amount of investment income through mid-2025.

Business Profile: Neutral

- Physicians Mutual Group is a long-established provider of health, life and retirement products, serving the senior market primarily in the Midwest, Central and Southeast regions of the United States. Physicians Mutual Group added pet insurance to its portfolio of products a few years ago.
- The organization's competitive position is strengthened through its ability to leverage its diversified distribution channels.
- The organization's business remains concentrated in the Medicare Supplement product despite continued efforts to diversify. Medicare Supplement represents a large portion of the organization's premium revenues, exposing the group to regulatory and market segment risks.

Enterprise Risk Management: Appropriate

- Physicians Mutual Group maintains an established enterprise risk management (ERM) program that is designed to cover the scope of the risks inherent in its balance sheet, operating performance and business profile.
- The ERM framework uses the three lines of defense model. The organization recognizes risk management as an integral part of good governance and management practices and is committed to its application at all management levels within the companies.
- The organization manages risks within the following categories and to the appetite level approved by the board of directors: strategic; reputation; financial market; liquidity; credit; pricing and underwriting; reserving; operational; and legal.
- The program utilizes a top-down approach that involves executive management and key personnel and provides ongoing risk identification, risk assessment, risk measurement, risk treatment activities and regular reporting to management.

Outlook

- The stable outlooks are based on Physicians Mutual Group's strongest level of balance sheet strength assessment, supported by the strongest level of risk-adjusted capitalization as measured by BCAR, and continued strong operating performance.

Rating Drivers

- While thought to be unlikely, positive rating action could occur if there is sustained outperformance of peers in operating performance metrics.

- Negative rating action could occur if there is a material trend of declining operating performance.

Key Financial Indicators

Best's Capital Adequacy Ratio (BCAR) Scores (%)

Confidence Level	95.0	99.0	99.5	99.6
BCAR Score	86.4	81.6	79.7	79.1

Source: Best's Capital Adequacy Ratio Model - Combined Life & Health, US

	Year End - December 31				
Key Financial Indicators USD (000)	**2024**	**2023**	**2022**	**2021**	**2020**
Total Assets	4,448,053	4,379,496	4,334,693	4,395,667	4,179,000
Policy and Claim Reserves:					
Life and Annuity	1,389,347	1,403,181	1,428,437	1,455,160	1,466,091
Accident & Health	1,404,385	1,402,454	1,388,029	1,372,717	1,350,047
Capital and Surplus	1,275,734	1,220,235	1,177,969	1,161,692	1,102,074
Total Revenues	1,200,267	1,125,815	984,682	965,473	955,029
Net Income	55,230	56,797	65,676	67,302	69,572
Net Operating Cash Flow	56,355	54,792	62,022	81,912	145,055
Net Premiums Written:					
Life and Annuity	251,763	244,272	232,291	242,143	260,437
Accident & Health	703,115	644,334	548,767	519,787	495,514
Other	763	955	290	...	...
NPW Total	955,640	889,561	781,348	761,930	755,951

Source: BestLink® - Best's Financial Suite

	Year End - December 31					
Key Financial Ratios	**2024**	**2023**	**2022**	**2021**	**2020**	**Weighted Average**
Overall:						
Operating Return on Revenue (%)	4.7	5.4	6.5	6.5	7.2	6.0
Operating Return on Capital and Surplus (%)	4.5	5.1	5.4	5.6	6.5	5.4
Health Operations:						

Source: BestLink® - Best's Financial Suite

Credit Analysis

Balance Sheet Strength

The balance sheet was assessed as strongest. Capital and surplus has reported continued growth over the past five years as a result of favorable earnings contributions. The organization continues to maintain favorable liquidity measures and AM Best's Stress Liquidity Ratios during 2025. The organization utilizes six external managers that operate with a conservative and flexible investment strategy, and manage risk by diversification and asset class. Physicians Mutual Group has access to advances through the Federal Home Loan Bank (FHLB).

Capitalization

Physicians Mutual Group's stochastic Best's Capital Adequacy Ratio (BCAR) score at the 99.6% VaR is considered the strongest level. The contribution of favorable earnings has been the primary driver of capital and surplus growth over the past five years. As a result, the organization has been able to allocate surplus to refine existing product lines, new product opportunities and enhance marketing efficiency and distribution through the use of technology. The 2024 five-year compound annual growth rate (CAGR) for total capital slightly below the five-year CAGR for net premiums. Additionally, the group reported favorable growth of its capital and surplus levels, which was driven by organic earnings and favorable investment returns including unrealized gains. Physicians Mutual Group's capital position provides support to risks related to insurance and investments on a consolidated basis. AM Best also notes the organization's recent change to a mutual holding company (MHC) structure, and the creation of Physicians Mutual Holding Company. As an MHC, the

Balance Sheet Strength (Continued...)

organization has additional financial flexibility and ability to access further forms of financing should that become necessary. Physicians Mutual Insurance Company maintains a net worth agreement with Physicians Life Insurance Company to maintain a minimum risk-based capital above the company action level.

The group invests in assets which could readily be converted to cash if necessary. The companies are primarily invested in bonds and equity holdings with an active secondary market. Premium and investment income are projected to be sufficient to meet future expenses and policyholder obligations. Furthermore, Physicians Mutual Group has demonstrated strong financial flexibility through its access to Federal Home Loan Bank (FHLB) of Topeka, Kansas with access to over $200 million of borrowing capacity. The FHLB advances under the program are for arbitrage - spread investment - purposes only and operating leverage remains low and within AM Best's guidelines.

	Year End - December 31				
Capital Generation Analysis USD (000)	**2024**	**2023**	**2022**	**2021**	**2020**
Beginning Capital and Surplus	1,220,235	1,177,969	1,161,692	1,102,074	1,037,384
Net Operating Gain	55,971	60,722	63,636	63,144	69,017
Net Realized Capital Gains (Losses)	-741	-3,925	2,040	4,158	556
Net Unrealized Capital Gains (Losses)	15,653	9,264	-68,146	10,346	748
Net Change in Paid-In Capital and Surplus	...	...	5,005	...	...
Other Changes	-15,384	-23,795	13,742	-18,030	-5,631
Net Change in Capital and Surplus	55,500	42,265	16,277	59,618	64,690
Ending Capital and Surplus	1,275,734	1,220,235	1,177,969	1,161,692	1,102,074
Net Change in Capital and Surplus (%)	4.5	3.6	1.4	5.4	6.2
Net Change in Capital and Surplus (5-yr CAGR)	4.2	...	...	...	...

Source: BestLink® - Best's Financial Suite

	Year End - December 31				
Liquidity Analysis (%)	**2024**	**2023**	**2022**	**2021**	**2020**
Overall:					
Operating Cash Flow Margin (%)	4.7	4.9	6.3	8.5	15.2
Current Liquidity (%)	136.5	135.2	134.1	132.9	132.6
Health Operations:					
Benefit and Loss Related Payments to Net Premiums Collected (%)	84.7	83.2	82.0	80.6	72.0
General Expenses and Taxes Paid to Net Premiums Collected (%)	34.9	36.4	36.7	35.5	35.3
Premium Receivable Turnover (months)	...	...	0.1	...	...

Source: BestLink® - Best's Financial Suite

	Year End - December 31				
Leverage (%)	**2024**	**2023**	**2022**	**2021**	**2020**
Debt to Total Capital and Surplus	15.7	16.4	17.0	17.2	5.1
Net Premiums Written to Total Capital and Surplus	0.7	0.7	0.7	0.7	0.7
General Account Liabilities to Total Capital and Surplus	2.5	2.6	2.7	2.8	2.8

Source: BestLink® - Best's Financial Suite

Asset Liability Management - Investments

Six full discretionary managers are retained by Physicians Mutual. The managers include three fixed income, one preferred stock manager/closed-end fund specialist and two asset-backed security specialists. The managers are monitored by an outside investment consulting firm and the group's treasury department. These investment professionals are managing corporate assets based on individualized investment guidelines and are monitored based on customized benchmarks. The investment guidelines address the

Balance Sheet Strength (Continued...)

overall portfolio credit quality targets and per issuer holding limitations based on credit ratings assigned by the nationally recognized rating agencies. The customized benchmarks provide duration and performance targets against which the managers can be measured. There have been no changes in investment strategy over the year.

At year-end 2024, fixed income securities comprised nearly nine-tenths of the group's combined invested assets and consist primarily of investment-grade with an average maturity of 11.5 years. Real estate, policy loans and other invested assets each accounts for less than one percentage of the overall invested assets. Equities and cash and short-term investments comprised the remainder of invested assets. Invested assets allocation are fairly consistent through the first half of 2025. Corporate and foreign bonds comprise almost three-fifths of fixed-income securities, with the remainder predominately consisting of state/special revenue bonds. Corporate and state/special revenue bonds include publicly traded, asset-backed, municipal, mortgage-backed, 144a private placement, high yield, and commercial mortgage-backed issues. The group's portion of below-investment-grade holdings, while representing one-quarter of total capital, has declined slightly year over year consistent over the past five years, but expected to remain stable. Stocks represent nearly eight percent of invested assets, with unaffiliated common stock and preferred stock comprising of nearly all of total stock. Equity exposure is comprised of FHLB stock and closed end funds.

Options are used as hedging instruments for both index annuity business and pre-need products tied to the S&P 500 Index. The current products use one year over-the-counter Asian and European call spread options with strike levels based on the S&P 500 stock index. Options are scheduled to be acquired weekly with purchase amounts based on the product's collected premium. The organization maintains a separate investment portfolio for its long-term care business, which allows better monitoring and matching of assets to the requirements of this segment's obligations.

	Year End - December 31				
Composition of Cash and Invested Assets	**2024**	**2023**	**2022**	**2021**	**2020**
Total Cash and Invested Assets USD (000)	4,382,089	4,311,412	4,261,668	4,333,767	4,112,923
Composition Percentages (%)					
Cash and Short Term Investments	2.6	1.8	1.1	1.6	1.9
Bonds	87.8	88.5	89.8	87.9	88.9
Preferred and Common Stock	7.5	7.8	7.5	8.8	7.6
Other Invested Assets	2.2	2.0	1.6	1.7	1.7
Total	100.0	100.0	100.0	100.0	100.0

Source: BestLink® - Best's Financial Suite

	Years					
Bonds and Short Term Investments - Distribution by Maturity (%)	**0-1**	**1-5**	**5-10**	**10-20**	**20+**	**Average (Years)**
Government Bonds	0.2	0.4	0.3	0.7	0.3	11.3
Government Agencies and Municipal Bonds	0.6	3.1	3.5	8.0	4.7	13.7
Industrial and Miscellaneous Bonds	8.6	21.9	12.1	18.9	15.8	10.9
Hybrid Securities	0.1	0.2	0.2	...	0.4	14.5
Total Bonds	9.5	25.6	16.1	27.5	21.2	11.5

Source: BestLink® - Best's Financial Suite

	Year End - December 31				
Bonds - Distribution by Issuer	**2024**	**2023**	**2022**	**2021**	**2020**
Bonds USD (000)	3,846,694	3,813,840	3,826,564	3,807,940	3,655,649
US Government (%)	1.4	1.1	0.6	0.6	0.7
Foreign Government (%)	0.4	0.4	0.4	0.5	0.5
State, Municipal & Special Revenue (%)	19.9	19.9	19.6	18.9	19.6
Industrial & Miscellaneous (%)	77.3	77.7	78.5	79.3	78.6
Hybrid Securities and Other (%)	0.9	0.9	0.8	0.7	0.7
Total (%)	100.0	100.0	100.0	100.0	100.0

Source: BestLink® - Best's Financial Suite

Balance Sheet Strength (Continued...)

Reserve Adequacy

The overall strong surplus position has enabled the group to strengthen reserves when necessary. The group's businesses subjected to asset adequacy analysis include medicare supplement, dental, hospital indemnity, specified disease, limited medical, accident, long-term care, and pet insurance. Of the reserves held just by Physicians Mutual, long-term care consists of a large percentage of the total. The long-term care has continued to receive adequate rate increases in a number of states.

Operating Performance

Physicians Mutual's operating performance was assessed as strong supported by continued favorable premium growth across a majority of its line of business, which continued through the second quarter of 2025. Earnings results were lower than the previous year’s record level; however, it remained favorable. Earnings declined through the second quarter of 2025 and were driven primarily by statutory strain of new Medicare supplement sales. Whiles profitability ratios may seem lower, this is impacted by the level of excess capital held in the organization, which depresses these ratios.

The majority of the group premium is derived from Medicare Supplement followed by the traditional life and dental lines of business. The five-year CAGR for NPW was 4.4% at year-end 2024. The organization exited the annuity business in 2021 and therefore, had continued to experience declines in annuity premium and earnings through 2025. With the continued expansion of the senior market and Physicians Mutual’s continued focus on innovation, the company expect to see continued growth in the Medicare supplement this line of business. The group's growing Medicare supplement, dental and pre-need businesses are expected to report continued growth through year-end 2025.

Physicians Mutual has reported positive net income over the past five-year period and through the first half of 2025. Furthermore, Physicians Mutual's total operating measures, both return on revenue (ROR) and return on equity (ROE), have remained solid over the past five-year period. Statutory underwriting results continue to be supplemented by a historically significant amount of investment income through the first half of 2025. Investment earnings are projected to increase in 2025 due to the rising interest rate environment and corresponding impact to investment yields. Through the middle of 2025, investment income compares favorably to the same period the prior year.

	Year End - December 31				
Net Operating Gain by LOB - Life Operations USD (000)	**2024**	**2023**	**2022**	**2021**	**2020**
Individual Life	15,923	14,769	1,554	-3,530	-2,167
Group Life	-2,788	-4,903	-2,444	364	-2,608
Individual Annuities	4,120	5,463	2,536	2,773	1,204
Group Annuities	3	19	32	1	-295
Accident & Health	42,035	52,702	66,838	64,805	72,883
Other Lines of Business	-3,695	-7,465	-4,882	-1,268	...
Total	55,598	60,585	63,635	63,144	69,017

Source: BestLink® - Best's Financial Suite

	Year End - December 31				
Net Underwriting Gain - Health Operations USD (000)	**2024**	**2023**	**2022**	**2021**	**2020**
Medicare Supplement	246	13	...	...	...
Total	246	13	...	...	...

Source: BestLink® - Best's Financial Suite

Business Profile

Physicians Mutual Group's business profile was assessed as neutral. Physicians Mutual Group includes Physicians Mutual Insurance Company (Physicians Mutual) and its wholly owned subsidiary, Physicians Life Insurance Company (Physicians Life) Physicians Mutual is a mutual insurance organization owned by individual policyholders. The organization's historical timeline began in 1902 and 1912 when Physicians Casualty Association and Physicians Health Association of America were established, respectively. These two associations

Business Profile (Continued...)

were merged and mutualized in 1961, and renamed Physicians Mutual Insurance Company in 1962. Physicians Mutual is a mutual legal reserve. In 1970, Physicians Mutual formed Physicians Life as a subsidiary to write life and annuity business.

Physicians Mutual is licensed in all states and the District of Columbia, while Physicians Life is licensed in the District of Columbia and all states except New York. Both of the company's direct premiums written are geographically diverse with no one dominant state.

The group markets its products primarily to middle-income, middle-aged to senior individuals residing chiefly in rural areas predominately in the Midwest, Central and Southeast regions of the country. They serve the individual market and do not offer products in the employer/group market. The organization uses diverse integrated marketing methods including direct marketing, an independent sales force, telesales, eCommerce, and third-party organizations. This method is used to distribute dental, individual life and supplemental health products. The independent sales force markets primarily Medicare Supplement, life and dental products. An independent marketing organization markets the pre-need products. The organization's competitive position is strengthened through its ability to leverage its diversified distribution channels. The organization has improved technology, added a team to focus on customers and prospects, combined departments to improve integration and lead sharing, and combined marketing data and analytical functions.

Physicians Mutual group of companies acquires customers primarily through its Medicare supplement, dental and life insurance product lines and is also seeking aggressive growth in secondary lines of business. Cross-selling opportunities are used to increase penetration of product sales within their primary client base. The group continues to receive high satisfaction ratings from an independent survey and maintains favorable retention rates which further support its premium revenues. Although there has been heightened competition within the Medicare supplement market in recent years, as well as some localized pressure from Medicare Advantage programs, Physicians Mutual has been able to continue to grow its earned premiums in this core product line year over year.

Physicians Mutual had previously marketed its long-term care products, but currently maintains a closed block. Physicians Life primarily markets life products, including pre-need insurance products. Customers are primarily acquired with Medicare Supplement, dental and life insurance. However, the organization offers a broad portfolio and cross-selling is an essential part of the organization's strategy.

The company also offers additional preventive care benefits to its products. Furthermore, all plans allow to change plans within the first two years without underwriting.

The dental product has three benefit levels: Preventive, Basic and Major. The 2022 new product features 100% coverage for Preventive Care, and a richer coinsurance option, similar to others seen in the market. This allows agents and telesales representatives to upgrade coverage. The product is guaranteed issue, has no deductible, and no annual maximum. Preventive dental care benefits are available immediately and rates are guaranteed for three years. After issue, customers are allowed to access additional coverage when offered. Provider network is used only in the dental product line and is offered to customers through an optional rider.

The dental plan also offers a vision rider. The organization is partnered with Ameritas and the dental plans offer a rider that increases preventive benefits and allows access to Ameritas' PPO Classic network, one of the largest in the country.

In 2022, Physicians Mutual began offering pet insurance, Physicians Mutual Pet. While still a small portion of total business, Physicians Mutual Pet brings an additional product to the portfolio and can provide further cross-selling opportunities to existing members. The product is expected to have a favorable impact on premium generation over the longer term.

Physicians Life specializes in smaller face amount life insurance products to the middle-income market. The portfolio includes a variety of traditional life products, whole and term life products primarily issued in face amounts up to $20,000 and are positioned as guaranteed issue final expense products. The company complements the core guaranteed issue life insurance products by offering limited and fully underwritten life insurance plans. Additionally, the company offers a series of limited underwritten 10 and 20 year level term products which were developed for the direct response channels, as well as a series of fully underwritten 10, 15 and 20 year term.

Physician Select Insurance Company is a wholly-owned subsidiary of Physician Mutual. The company currently writes Medicare Supplement products and is licensed in 20 states. Physician Select Insurance Company has reinsurance agreement with Physician Mutual and cedes 100% of the business written.

Life products are designed for their own agency sales force. The company introduced a whole life product priced for the slightly higher middle-income market. Benefit riders and value-added benefits continue to be important to its product offerings. In the last year the company began offering additional life insurance coverage through a rider instead of a second life insurance policy. This marketing approach allows reduced marketing costs and increase response, while making it easier for customers to track all their life insurance.

Business Profile (Continued...)

Physicians Life sells pre-need life insurance and annuity products exclusively through funeral homes who work with a dedicated independent marketing organization, Physicians Life maintains a strategic relationship with the largest marketing organization in the pre-need market. The first pre-need products introduced were Cornerstone products, two life insurance products and one annuity product and continued to include an index growth rate product and Inflation Guard enhancement option. Additionally, an indexed pre-need product, Custom Index Performance was added to the Custom product series that limits growth by a participation rate instead of an annual cap. The latest innovation provides funeral homes with the ability to earn additional growth rate. Physician Mutual introduced a non-insurance product, Pre-need Trust plan. However, the Trust business is reported through Physicians Mutual Innovations Company, a non-insurance company, with the company earnings fee revenue, not premium.

Physicians Life maintains a block of annuity business after ceasing sales of annuity products in 2021. Physicians Mutual's hospital indemnity business is declining and the company ceased marketing this product in 2020. The company suspended sales of long-term care products in 2013. Long-term care consists of three tax-qualified and one non-tax qualified products designed for individuals.

	Year End - December 31				
Net Premiums Written by Line of Business USD (000)	**2024**	**2023**	**2022**	**2021**	**2020**
Individual Life	201,158	199,728	193,517	189,102	180,415
Group Life	47,994	42,606	36,011	48,519	54,851
Individual Annuities	393	450	978	2,705	23,036
Group Annuities	2,218	1,490	1,784	1,818	2,134
Accident & Health	703,115	644,334	548,767	519,787	495,514
Other	763	955	290	...	...
Total	955,640	889,561	781,348	761,930	755,951

Source: BestLink® - Best's Financial Suite

Enterprise Risk Management

Physicians Mutual's Enterprise Risk Management (ERM) program was assessed as appropriate. Physicians Mutual companies recognize risk management as an integral part of good governance and management practice, and is committed to its application at all management levels within the companies. The organization has an established ERM program that is designed to provide reasonable assurance regarding the achievement of strategic objectives.

Physicians Mutual follows the Three Lines of Defense model of risk accountability which incorporates operational management, internal monitoring and oversight and internal audit. The organization continues to receive top down support of the board and President's Council.

The ERM framework consists of six interrelated components. Risk Culture & Governance is where governance structure starts with oversight from the board. Executive management has established structure, accountability, and responsibilities and sets a philosophy regarding risk management. Risk Appetite & Accountability manages risks within the following categories and to the appetite level approved by the board of directors: strategic; reputation; financial market; liquidity; credit; pricing and underwriting; reserving; operational; and legal. Members of the President’s Council, which acts as the Corporate Risk Committee, have been assigned enterprise risk category accountability. Risk Identification & Prioritization establishes that risks are managed every day at various levels of the organization. Key personnel participate in the risk identification process on a regular basis. Risks are prioritized and assigned to the appropriate risk owners for assessment and management. Risk Management & Controls assesses risks on both an inherent and a residual basis in order to form a basis for determining how they should be managed. The assessment considers the potential impact and likelihood of the event. Based on the risk assessment determination, management determines the treatments, which include avoiding, accepting, reducing and sharing risks. Control activities or mitigation activities are identified and implemented for all risks with assessments below appetite. The monitoring and control activities of the risks help to ensure that the residual impact and likelihood of the risks are kept at an acceptable level. Risk Reporting & Communicating makes sure relevant information is identified, captured and communicated in a form and time-frame that enables management to effectively identify, assess, respond to and monitor risks. The ERM department provides updates to the Corporate Risk Committee on a regular basis. The ERM program is continually monitored, and modifications are made as necessary. Several risk committees are utilized in the ERM Program.

Risk management is recognized as an integral part of good governance and management practice and there is a commitment to its application at all management levels within the companies. The program utilizes a top down approach that involves executive

Enterprise Risk Management (Continued...)

management and key personnel and provides ongoing risk identification, risk assessment, risk measurement, risk treatment activities and regular reporting to management.

Several risk committees are utilized in the ERM Program. The committees include: President's Council (PC)/Corporate Risk Committee (CRC); Asset Liability Management (ALM); Insurance Risk Committee (IRC) supported by product focused risk committees. The companies undergo annual financial statement audits by its external audit and advisory services firm, Deloitte & Touche, and triennial financial examinations by the Nebraska Department of Insurance.

The organization is not required by regulation to produce an Own Risk and Solvency Assessment (ORSA) report, but expects to complete it in the next several years. It currently implements some of those ORSA elements that provide the greatest value to the organization.

Physicians Mutual Group utilizes a model to drive its cyber security program and align it with NIST/ISO 27000 standards. Security training and awareness programs are required for all employees, as well as an electronic phishing awareness tool.

An economic capital model for financial forecasts has been developed to capture the major risks and risk correlations of the organization, and to be used in strategic and corporate planning. The model will be utilized for comparing economic capital to statutory requirements for inforce and new business, sales scenarios, additional economic scenarios, additional sensitivity tests and risk correlations. The organization maintains an updated comprehensive incidence response plan to guarantee assistance in case of a serious event.

In addition, the group maintains cyber liability insurance coverage on an annual contractual basis. The organization maintains an updated comprehensive incidence response plan to guarantee assistance in case of a serious event, which was used effectively in the onset of the COVID-19 pandemic.

Reinsurance Summary

Physicians Mutual reinsures its long-term care business written between January 1, 2008 and December 31, 2011 on a 50% coinsurance basis with RGA, St. Louis, MO. Physicians Life reinsures portions of its life insurance business with Employers Reassurance Corp., Overland Park, KS; AAA Life Insurance Company, Livonia, MI; General Re Life Corp., Stamford, CT; Transamerica Life Insurance Co., Cedar Rapids, IA; and RGA. Maximum net retention on any one life policy is $250,000.

Environmental, Social & Governance

AM Best considers Physicians Mutual Group's exposure to environmental, social, and governance (ESG) risks to be low. The group carefully monitors the product segments in which it participates in order to actively manage its enterprise-wide exposure, including on the underwriting and investment side. Furthermore, the group has successfully demonstrated that it has the financial strength to absorb losses, given the size of its absolute capital base and ability to replenish capital, as needed.

Financial Statements

Balance Sheet	2024 USD (000)	2024 %	2023 USD (000)	2023 %
Cash and Short Term Investments	113,695	2.6	77,314	1.8
Bonds	3,846,694	86.5	3,813,840	87.1
Preferred and Common Stock	327,198	7.4	334,578	7.6
Other Invested Assets	94,502	2.1	85,681	2.0
Total Cash and Invested Assets	4,382,089	98.5	4,311,412	98.4
Premium Balances	75	...	83	...
Healthcare and Other Receivables	414	...	403	...
Other General Account Assets	65,476	1.5	67,598	1.5
Total General Account Assets	4,448,053	100.0	4,379,496	100.0
Total Assets	4,448,053	100.0	4,379,496	100.0
Policy and Claim Reserves	2,793,732	62.8	2,805,635	64.1
Liability for Deposit Contracts	14,013	0.3	15,574	0.4
Asset Valuation Reserve	74,429	1.7	53,251	1.2
Accrued Expenses and Other General Account Liabilities	290,146	6.5	284,802	6.5
Total General Account Liabilities	3,172,319	71.3	3,159,261	72.1
Total Liabilities	3,172,319	71.3	3,159,261	72.1
Unassigned Surplus	1,273,993	28.6	1,220,235	27.9
Other Surplus	1,741	...	...	...
Total Capital and Surplus	1,275,734	28.7	1,220,235	27.9
Total Liabilities, Capital and Surplus	4,448,053	100.0	4,379,496	100.0

Year End - December 31

Source: BestLink® - Best's Financial Suite

Income Statement USD (000)	2024	2023
Net Premiums Earned	955,640	889,561
Other Revenues	20,693	20,931
Net Investment Income	223,933	215,323
Total Revenues	1,200,267	1,125,815
Net Incurred Benefits	797,254	731,070
Commissions and Expense Allowances	61,221	55,596
Insurance and Other Expense	270,005	264,054
Pre-Tax Net Operating Gain	71,787	75,096
Income Taxes Incurred	15,816	14,374
Net Operating Gain	55,971	60,722
Net Realized Capital Gains (Losses)	-741	-3,925
Net Income	55,230	56,797

Year End - December 31

Source: BestLink® - Best's Financial Suite

Statement of Operating Cash Flows USD (000)	Year End - December 31 2024	2023
Net Premiums Collected	957,779	894,010
Other Revenue Received	19,173	13,766
Net Investment Income	224,755	216,177
Total Income Collected	1,201,706	1,123,954
Net Benefits and Loss Related Payments	811,089	743,370
Underwriting and Other Expenses Paid	319,469	313,191
Income Taxes Paid (Recovered)	14,793	12,600
Net Operating Cash Flow	56,355	54,792

Source: BestLink® - Best's Financial Suite

Related Methodology and Criteria

AM Best's Stress Liquidity Ratio for US Life Insurers, 05/09/2024

Best's Credit Rating Methodology, 08/29/2024

Available Capital and Insurance Holding Company Analysis, 09/18/2025

Scoring and Assessing Innovation, 02/20/2025

Understanding BCAR for US and Canadian Life/Health Insurers, 10/09/2025